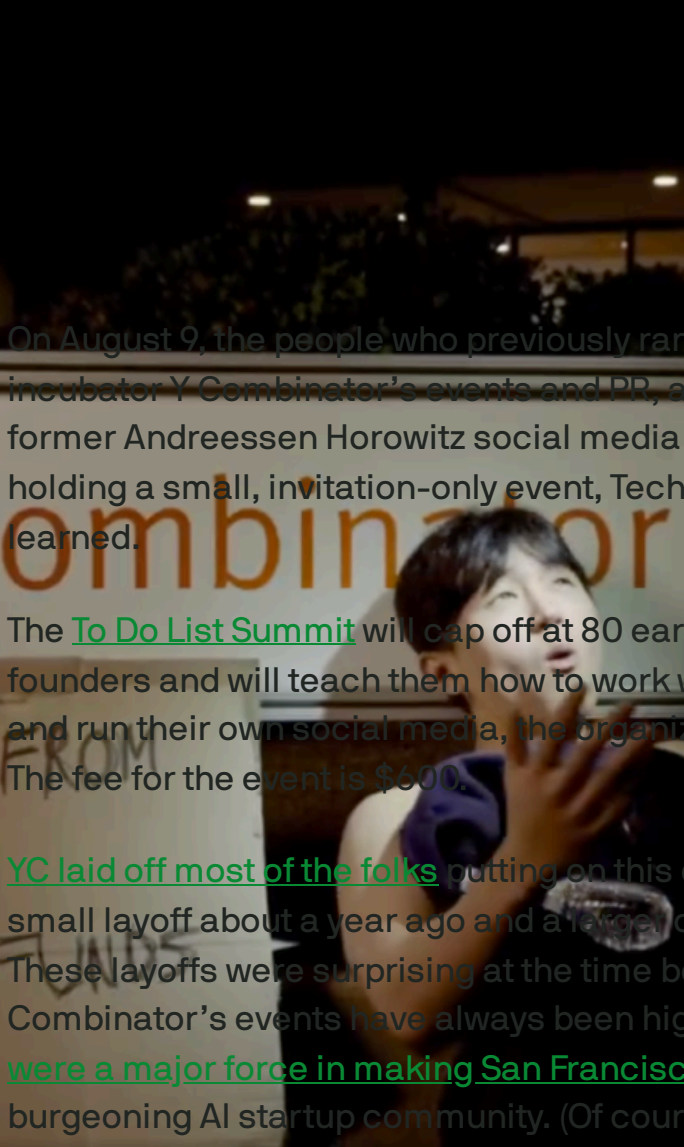


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STARTUPS



Former Y Combinator, a16z experts hold invite-only summit for founders



On August 9, the people who previously ran startup incubator Y Combinator's events and PR, along with a former Andreessen Horowitz social media manager, are holding a small, invitation-only event, TechCrunch has learned.

The [To Do List Summit](#) will cap off at 80 early-stage founders and will teach them how to work with the press and run their own social media, the organizers promise. The fee for the event is \$600.

[YC laid off most of the folks](#) putting on this event between a small layoff about a year ago and a larger one in 2023. These layoffs were surprising at the time because Y Combinator's events have always been highly popular and [were a major force in making San Francisco the hub](#) for the burgeoning AI startup community. (Of course, the center of that universe is YC-affiliated OpenAI, also headquartered in San Francisco and run by former YC president Sam Altman.)

The people putting on this event are doing it because they are appalled at how often early-stage startups are led to believe they must pay tens of thousands of dollars to hire PR and social media agencies, one person involved told TechCrunch.

Still, in the wake of [startups that routinely go viral, like Cluely](#), founders feel pressured to do the same.

It's also true that a single social media post can make an early-stage startup go viral these days. The founders of app vibe coding startup Rork were almost broke when a viral tweet led them to raise \$2.8 million and nab [a spot in a16z's Speedrun program](#). [Defense tech startup Theseus](#) landed a contract with the U.S. Special Forces, \$4.3 million in funding, and a spot in YC, from a viral X post.

If the folks behind the new event could help YC founders, they believe they can help founders who aren’t part of the famed program — and on the cheap without giving up equity.

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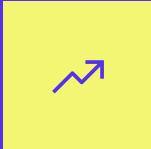
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IMAGE CREDITS: TECHCRUNCH/BRYCE DURBIN



Why does a16z need its own Y Combinator?

Natasha Mascarenhas — 1:43 PM PDT · April 18, 2022

For over a year, Andreessen Horowitz has quietly piloted its own take on an accelerator for early-stage entrepreneurs, and today, the firm announced the program's official debut.

In exchange for an unannounced percentage of ownership, "a16z START" will offer early-stage founders up to \$1 million in venture capital. The checks are backed by a [\\$400 million seed fund](#), which closed in August 2021.

[Andreessen Horowitz unveils piloted program for early-stage entrepreneurs](#)

The remote-first program will accept founders on a rolling basis and wants to connect folks with partners for advice, potential customers or investors, and of course, other entrepreneurs.

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On the relatively brief application form for START, a16z names six categories — American dynamism, consumer, enterprise, fintech, games or other. Investment terms will be discussed with final candidates, the form says.

This program extends Andreessen Horowitz’s stamp of approval to the earliest step of an entrepreneur’s journey: the idea stage, or the pre-quitting-your-day-job part of startup life. The company has invested in solo founders before their companies ever existed, but this program appears to be a more formal effort to bring folks into entrepreneurship. Notably, there is no mention of a diversity mandate or focus.

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Tech and VC heavyweights join the Disrupt 2025 agenda

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The list of early participants in this program shows that a16z is certainly interested in international entrepreneurs, similar to how Y Combinator has increasingly [grown its](#)

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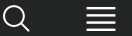
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[global presence over the past few years](#). Some of START's first entrepreneurs include executives from Rappi, a Colombian unicorn.

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Yet, hungry founders and boatloads of capital have encouraged investors in recent quarters to go early themselves, legacy be damned.

TFW a16z and YC want the same spot

[Given the rapid proliferation of startups](#) over the years, both a16z and Y Combinator have a ton of options to plant their capital. Yet, systemic diversity issues across the industry mean that their portfolios could look quite homogenous.

Since first running the program in fall 2021, a16z has received over 1,000 applications and accepted 11 entrepreneurs, which works out to a 1.1% acceptance rate. For comparison's sake, Y Combinator received 17,000 applications and accepted 414 entrepreneurs for its latest batch for a 2.4% acceptance rate.

a16z declined to share how many founders will be accepted into the program, but it appears that the application-to-acceptance ratio will be similar in rigor to what Y Combinator has reached over time.

Both firms are challenged by tougher deal access and higher startup valuations today than in prior years. As Y

Combinator has grown, the firm increased its investment size, which now includes a simple agreement for future equity with a “most favored nation” clause.

Reading between the lines, Y Combinator has decided to be more aggressive in its pursuit of ownership in portfolio companies, meaning that it can put more money to work when those dollars buy the most shares. a16z likely wants the same setup, even if it likely puts it into somewhat direct competition with the venerable accelerator.

a16z has a clear advantage over other firms: the insane amount of dry powder at its disposal. Just three months ago, [the firm raised \\$9 billion in new capital](#), and its check-writing capabilities could see founders receiving nearly double the capital that YC offers in its [recently expanded standard deal](#).

Another way to compete would be to adopt a more relaxed attitude about ownership, which [we’ve seen even the most disciplined firms do in sectors under the spotlight](#).

A startup that gets accepted into the program may join for the stamp of approval, but it will gladly stay when it knows that a16z doesn’t just have the ability to make a first check, but lead literally every following round until the company is ready to go public. And given today’s [founder friendly-ish market](#), that stability could resonate.

In a lot of ways, the new a16z program is a continuation of a trend that we’ve seen established venture capital firms follow over the past two years to keep up with all the new deals in the market.

For example, a16z has been investing in microfunds for years as a way to keep an eye on promising founders. Additionally, a number of venture firms such as NextView and Accel have created in-house accelerator programs.

The perks are obvious: Early checks mean more upside, less competition, and a way to diversify across different sectors without as much risk. (Note: Sequoia Capital, one of a16z’s most formidable rivals, [was an early investor in an entity run by Y Combinator](#)).

a16z’s program feels predictable, if not delayed, compared to other firms out there. The firm notoriously left the seed stage a few years ago to avoid the appearance of conflicts of interest — a dynamic some founders still associate with the firm today — before returning to an aggressive cadence of early-stage investing.

a16z START is yet another piece of evidence for the thesis that the early-stage fundraising market, [despite some valuations pullback](#), still has hungry investors.

So, why does a16z need its own Y Combinator? The better question appears to be: Why not?

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Natasha Mascarenhas

Senior Reporter |

Natasha Mascarenhas was a senior reporter at TechCrunch covering early stage startups and venture capital trends.

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To fund Y Combinator's top startups, VCs scoop them before Demo Day

Meet the startups that raised venture capital, or got acquired, before Demo Day

Kate Clark

2:25 PM PDT · March 21, 2019

Hundreds gathered this week at San Francisco's Pier 48 to see the more than [200 companies](#) in Y Combinator's Winter 2019 cohort present their two-minute pitches. The audience of venture capitalists, who collectively

manage hundreds of billions of dollars, noted their favorites. The very best investors, however, had already had their pick of the litter.

IMAGE CREDITS: Y COMBINATOR

What many don't realize about the Demo Day tradition is that pitching isn't a requirement; in fact, some YC graduates skip out on their stage opportunity altogether. Why? Because they've already raised capital or are in the final stages of closing a deal.

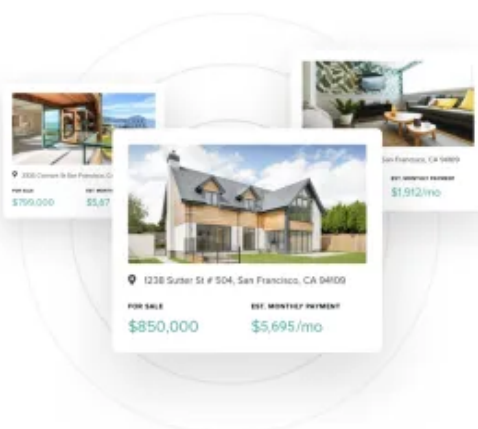
[ZeroDown](#), [Overview.AI](#) and [Catch](#) are among the startups in YC's W19 batch that forwent Demo Day this week, having already pocketed venture capital. ZeroDown, a financing solution for real estate purchases in the Bay Area,

raised a round upwards of \$10 million at a \$75 million valuation, sources tell TechCrunch. ZeroDown hasn't responded to requests for comment, nor has its rumored lead investor: Goodwater Capital.

Without requiring a down payment, ZeroDown purchases homes outright for customers and helps them work toward ownership with monthly payments determined by their income. The business was founded by Zenefits co-founder and former chief technology officer Laks Srini, former Zenefits chief operating officer Abhijeet Dwivedi and Hari Viswanathan, a former Zenefits staff engineer.

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The founders' experience building Zenefits, despite its [shortcomings](#), helped ZeroDown garner significant buzz ahead of Demo Day. Sources tell TechCrunch the startup had actually raised a small seed round ahead of YC from former YC president Sam Altman, who recently [stepped down](#) from the role to focus on OpenAI, an AI research organization. Altman is said to have encouraged ZeroDown to complete the respected Silicon Valley accelerator program, which, if nothing else, grants its companies a priceless network with which no other incubator or accelerator can compete.



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Overview.AI's founders' resumes are impressive, too. Russell Nibbelink and Christopher Van Dyke were previously engineers at Salesforce and Tesla, respectively. An industrial automation startup, Overview is developing a smart camera capable of learning a machine's routine to detect deviations, crashes or anomalies. TechCrunch hasn't been able to get in touch with

Overview's team or pinpoint the size of its seed round, though sources confirm it skipped Demo Day because of a deal.

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Catch, for its part, closed a \$5.1 million seed round co-led by Khosla Ventures, Kindred Ventures, and NYCA Partners prior to Demo Day. Instead of pitching their health insurance platform at the big event, Catch published a [blog post](#) announcing its first feature, The Catch Health Explorer.

“This is only the first glimpse of what we're building this year,” Catch wrote in the blog post. “In a few months, we'll be bringing end-to-end health insurance enrollment for individual plans into Catch to provide the best health insurance enrollment experience in the country.”

Here are the 85+ startups that launched at YC's W19 Demo Day 1



Y Combinator's incubator classes have gotten huge. With over 200 companies, the Winter 2019 class is by far YC's largest yet. Meanwhile, the incubator prepares to shift its headquarters from Mountain View to San Francisco. It's so large, in fact, it's had to change the way it does Demo Day. Rather than all pitches happening ... [Continue reading](#)



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TechCrunch [has more details](#) on the healthtech startup's funding, which included participation from Kleiner Perkins, the Urban Innovation Fund and the Graduate Fund.

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Four more startups, [Truora](#), [Middesk](#), [Glide](#) and [FlockJay](#) had deals in the final stages when they walked onto the Demo Day stage, deciding to make their pitches rather than skip the big finale. Sources tell TechCrunch that renowned venture capital firm Accel invested in both Truora and Middesk, among other YC W19 graduates. Truora offers fast, reliable and affordable background checks for the Latin America market, while Middesk does due diligence for businesses to help them conduct risk and compliance assessments on customers.

Finally, Glide, which allows users to quickly and easily create well-designed mobile apps from Google Sheets pages, landed support from First Round Capital, and [FlockJay](#), the operator an online sales academy that teaches job seekers from underrepresented backgrounds the skills and training they need to pursue a career in tech sales, secured investment from Lightspeed Venture Partners, according to sources familiar with the deal.

Pre-Demo Day M&A

Raising ahead of Demo Day isn't a new phenomenon. Companies, thanks to the invaluable YC network, increase their chances at raising, as well as their valuation, the moment they enroll in the accelerator. They can begin chatting with VCs when they see fit, and they're encouraged to mingle with YC alumni, a process that can result in pre-Demo Day acquisitions.

This year, [Elph](#), a blockchain infrastructure startup, was [bought by Brex](#), a buzzworthy fintech unicorn that itself graduated from YC only two years ago. The deal closed just one week before Demo Day. Brex's head of engineering, Cosmin Nicolaescu, tells TechCrunch the Elph five-person team — including co-founders Ritik Malhotra and Tanooj Luthra, who previously founded the [Box-acquired](#) startup Steem — were being eyed by several larger companies as Brex negotiated the deal.

“For me, it was important to get them before batch day because that opens the floodgates,” Nicolaescu told TechCrunch. “The reason why I really liked them is they are very entrepreneurial, which aligns with what we want to do. Each of our products is really like its own business.”

Of course, Brex offers a credit card for startups and has no plans to dabble with blockchain or cryptocurrency. The Elph team, rather, will bring their infrastructure security know-how to Brex, helping the [\\$1.1 billion](#) company build its next product, a credit card for large enterprises. Brex declined to disclose the terms of its acquisition.

Hunting for the best deals

Y COMBINATOR PARTNERS MICHAEL SEIBEL AND DALTON CALDWELL, AND MODERATOR JOSH CONSTINE, SPEAK ONSTAGE DURING TECHCRUNCH DISRUPT SF 2018. (PHOTO BY KIMBERLY WHITE/GETTY IMAGES)

Ultimately, it's up to startups to determine the cost at which they'll give up equity. YC companies raise capital under the [SAFE model](#), or a simple agreement for future equity, a form of fundraising invented by YC. Basically, an investor makes a cash investment in a YC startup, then receives company stock at a later date, typically upon a Series A or post-seed deal. YC [made the switch](#) from investing in startups on a pre-money [safe](#) basis to a post-money safe in 2018 to make cap table math easier for founders.

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Michael Seibel, the chief executive officer of YC, says the accelerator works with each startup to develop a personalized fundraising plan. The businesses that raise at valuations north of \$10 million, he [explained](#), do so because of high demand.

"Each company decides on the amount of money they want to raise, the valuation they want to raise at, and when they want to start fundraising," Seibel told TechCrunch via email. "YC is only an advisor and does not dictate

how our companies operate. The vast majority of companies complete fundraising in the 1 to 2 months after Demo Day. According to our data, there is little correlation between the companies who are most in demand on Demo Day and ones who go on to become extremely successful. Our advice to founders is not to over optimize the fundraising process.”

Though Seibel says the majority raise in the months following Demo Day, it seems the very best investors know to be proactive about reviewing and investing in the batch before the big event.

Khosla Ventures, like other top VC firms, meets with YC companies as early as possible, partner Kristina Simmons tells TechCrunch, even scheduling interviews with companies in the period between when a startup is accepted to YC to before they actually begin the program. Another Khosla partner, Evan Moore, echoed Seibel’s statement, claiming there isn’t a correlation between the future unicorns and those that raise capital ahead of Demo Day. Moore is a co-founder of DoorDash, a YC graduate now worth \$7.1 billion. DoorDash closed its first round of capital in the weeks following Demo Day.

“I think a lot of the activity before demo day is driven by investor FOMO,” Moore wrote in an email to TechCrunch. “I’ve had investors ask me how to get into a company without even knowing what the company does! I mostly see this as a side effect of a good thing: YC has helped tip the scale toward founders by creating an environment where investors compete. This dynamic isn’t what many investors are used to, so every batch some complain about valuations and how easy the founders have it, but making it easier for ambitious entrepreneurs to get funding and pursue their vision is a good thing for the economy.”

This year, given the [number of recent changes at YC](#) — namely the [size of its latest batch](#) — there was added pressure on the accelerator to showcase its best group yet. And while some did tell TechCrunch they were especially impressed with the lineup, others indeed expressed frustration with valuations.

Many YC startups are fundraising at valuations at or higher than \$10 million. For context, that’s actually perfectly in line with the median seed-stage valuation in 2018. According to PitchBook, U.S. startups raised seed rounds at a median post-valuation of \$10 million last year; so far this year, companies are raising seed rounds at a slightly higher post-valuation of \$11 million. With that said, many of the startups in YC’s cohorts are not as mature as the average seed-stage company. Per PitchBook, a company can be several years of age before it secures its seed round.

<https://twitter.com/peterrojas/status/1108206022387068928>

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Nonetheless, pricey deals can come as a disappointment to the seed investors who find themselves at YC every year but because their reputations aren't as lofty as say, Accel, aren't able to book pre-Demo Day meetings with YC's top of class.

The question is who is Y Combinator serving? And the answer is founders, not investors. YC is under no obligation to serve up deals of a certain valuation nor is it responsible for which investors gain access to its best companies at what time. After all, startups are raking in larger and larger rounds, earlier in their lifespans; shouldn't YC, a microcosm for the Silicon Valley startup ecosystem, advise their startups to charge the best investors the going rate?

[Our 9 favorite startups from Y Combinator W19 Demo Day 2](#)

[All 88 companies from Y Combinator's W19 Demo Day 2](#)

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